Business Insights Summary

AdventureWorks Sales Analysis - Prepared for Director Review

This summary pulls together the headline findings from our Power BI sales report. It gives a quick, numbers-backed read on where the business is performing well, where it is weak, and what is worth a closer look next. All amounts are in Indian rupees. The data covers 1 July 2017 to 15 June 2020, so 2017 and 2020 are partial years.

Key Findings

1. Bikes carry the business, but they earn a thin margin.

Bikes brought in ₹9.46 crore of our ₹10.98 crore in total sales, about 86% of everything we sold. They also produced about 84% of our gross profit (₹1.05 crore of ₹1.26 crore), but at a margin of only 11.1%, in line with the company average of 11.4%. The business depends on one category that earns little on each rupee sold.

2. Accessories are tiny, but by far our most profitable category.

Accessories sold just ₹12.7 lakh, about 1% of sales, yet their gross margin is 49.9%, more than four times the Bikes margin. Clothing is next at 17.4%. Components, our second-largest category at ₹1.18 crore, earns the thinnest margin of all at 8.75%.

3. Sales are growing across every category.

Sales so far in 2020 (₹2.45 crore up to 15 June) are 71.0% above the same dates in 2019. Every category is up: Clothing +100.7%, Bikes +69.5%, Components +48.4%, and Accessories +880.8% from a very small base. Within Accessories, two small subcategories, Locks and Pumps, sold nothing so far in 2020. Full-year 2019 sales (about ₹4.3 crore) were also roughly 40% above 2018 (about ₹3.0 crore).

4. Southwest is far ahead, while Northeast and Germany trail.

Southwest leads all ten regions at ₹2.42 crore, about 22% of total sales. Northeast brought in ₹69.4 lakh, and Germany is lower still, at roughly a fifth of Southwest's total. The gap is wide enough to ask whether it is a demand issue or an execution issue.

5. Nearly three-quarters of sales are not tied to a named customer.

About ₹8.05 crore of our ₹10.98 crore in sales (roughly 73%) is booked against a placeholder customer called “[Not Applicable]”, which puts it in the report's Gold tier. These look like reseller or other sales with no individual customer attached. Among named customers the picture is very different: the largest is ₹15,999, the top 20 together bought only about ₹2.5 lakh (0.2% of sales), and every one of them is in the Bronze tier. That is why the High Value Customer count correctly shows zero.

Recommendations

1. Review Bike and Component pricing and costs first.

With 86% of sales at an 11% margin, a small change in Bike prices or costs moves total profit more than any other lever. Components deserve the same look: ₹1.18 crore of sales at an 8.75% margin. Check supplier costs, discounting and pricing before anything else.

2. Sell more Accessories alongside Bikes.

Accessories earn about 50 paise of gross profit for every rupee sold. Bundling them with bike sales, or offering them as add-ons, is a low-cost way to lift overall margin. Test it on a small scale first.

3. Compare Southwest with Northeast and Germany before writing them off.

A gap this large is worth checking against strategy, staffing, and marketing spend, rather than assuming the weaker regions are simply smaller markets.

Worth Investigating With More Data

1. What the sales with no named customer actually are.

About 73% of sales sit under “[Not Applicable]”. Customer tiers (Gold, Silver, Bronze) and customer-level analysis only become meaningful once these sales are linked to real customers or confirmed as reseller sales.

2. Real returns data.

The Returns page in the report uses simulated data (see the note below), so we cannot yet say anything about return rates by product, reason or region. A real returns feed would let the same page answer those questions.

A Note on Returns Data

AdventureWorks has no real returns data, so the Returns table in the report is simulated: a random 8% of sales lines are treated as returned, with randomly assigned reasons. The return figures show how the report would work with real data, not how our customers actually behave, and none of the findings above rely on them.